

August 18, 2026 12:32 PM GMT

Micronics Japan (6871) | Japan

F12/26 2Q Results Interview

Takeaways: No Letup in Capacity Expansion and Next-Generation Technology Development

Key Takeaways

- 2Q results benefited from a shift of sales from 1Q/3Q, as well as the earlier-than-planned booking of sales from development products originally scheduled for shipment after 3Q. As a result, the probe card business achieved 41% OPM.
- 3Q sales expected to be below production capacity (many products being shipped in 4Q at customers' request). Switching production lines between products is not easy, so upside to sales unlikely.
- While operating margins are expected to decline from the exceptionally high 2Q level from 3Q, management expects gross margins to remain above 50%, supporting continued healthy profitability.
- NAND-related order growth remains modest, as lead times have not fully matched customer requirements. For non-memory applications, the company expects volume growth driven by automotive and industrial equipment demand.
- Even including the planned expansion of the Oita plan, management believes capex can be fully funded with internal cash flow and borrowings.

While the pace varies by customer, demand for probe cards from memory manufacturers remains robust. Micronics Japan is accelerating capex and boosting production, but demand growth is also accelerating, leaving lead times unchanged at 5-6 months. Management expects quarterly production capacity of ¥30bn by 4Q, and for capacity to continue expanding beyond that, though no quantitative targets were disclosed for 2028. The product lineup for the recently acquired Oita facility is to be confirmed. For vertical probe technology, it is focusing on next-gen development in areas such as high-frequency applications, fine-pitch testing, and simultaneous contact capabilities. We remain mindful of quarterly earnings volatility, but our discussions reinforced confidence in the firm's growth story supported by rising demand and ongoing capacity expansion, and preparedness for future technology requirements. We expect the share price to remain resilient in the medium- to long-term.

[Micronics Japan: F12/26 2Q Results: Positive – Capacity Expansion & Profitability Gains Ahead of Our Expectations \(12 Aug 2026\)](#)

[Micronics Japan: Summary of Discussion at F12/26 2Q Briefing: Aims for Growth via Tapping into Buoyant Probe Card Demand and New Technologies \(13 Aug 2026\)](#)

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Micronics Japan (6871.T, 6871 JT)

Mid Small Cap/Manufacturer | Japan

Stock Rating	Overweight
Industry View	In-Line
Price target	¥19,000
Shr price, close (Aug 18, 2026)	¥14,750
Mkt cap, curr, basic (bn)	¥571.8
Avg daily trading value (bn)	¥12.2

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Valuation Methodology and Risks

Micronics Japan (6871.T)

Our price target is based on a P/E of 25x and our F12/27 EPS forecast. Our target P/E references the average forward P/E for FY27 for companies we classify as SPE and related names (23x), but applies a premium to reflect heightened test-related demand with generative AI evolving faster of late, and a rise in added value from higher tech hurdles.

Risks to Upside

Accelerated growth in probe cards for memory, including HBM; non-memory sales expansion; new growth scenario for TE segment; non-continuous growth from M&A, tie-ups, etc.

Risks to Downside

Slower memory bit growth or loss of technological edge; test process maturation that shortens test times; stiffer price competition; fears of supply gluts; delays generating demand for non-memory probe cards; weak TE segment.

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(as of July 31, 2026)

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	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1529	42%	442	47%	29%	750	43%
Equal-weight/Hold	1582	43%	396	42%	25%	773	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	560	15%	97	10%	17%	217	12%
Total	3,674		936			1741	

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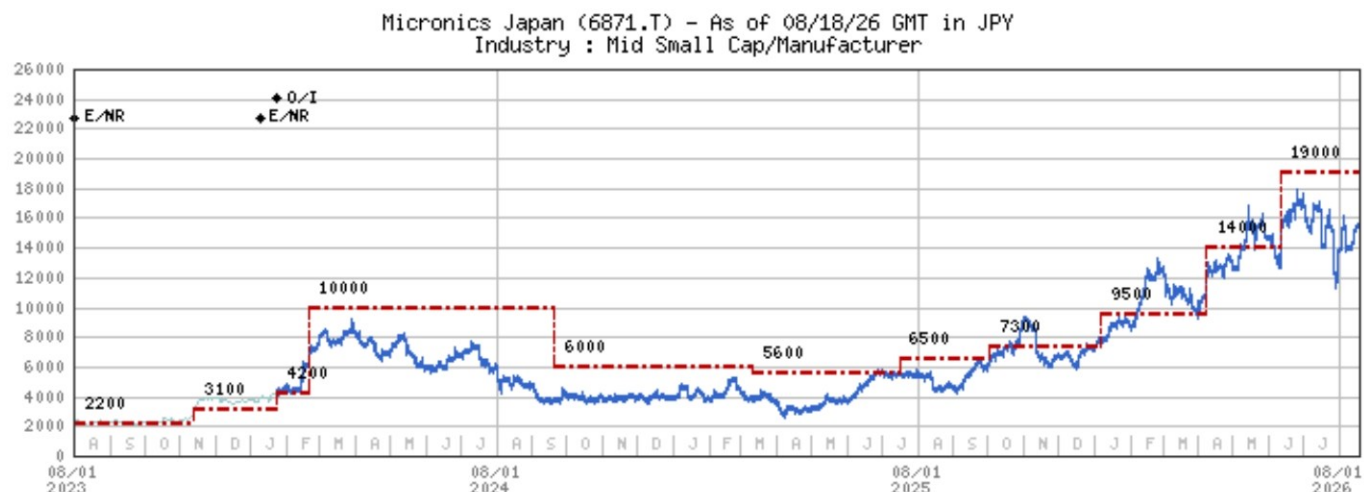
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COMPANY (TICKER)	RATING (AS OF)	PRICE* (08/18/2026)
Yoshihito Hasegawa		
Aoi Electronics (6832.T)	E (07/30/2025)	¥2,341
Asahi Diamond Industrial (6140.T)	E (07/28/2025)	¥1,245
Cosel (6905.T)	E (07/30/2025)	¥1,375
Daihen (6622.T)	O (01/07/2026)	¥14,070
Elecom (6750.T)	O (01/24/2024)	¥1,905
eREX (9517.T)	E (04/04/2025)	¥852
Ferrotec (6890.T)	O (07/16/2025)	¥9,370
Fujiibo Holdings (3104.T)	O (01/24/2024)	¥3,665
Fuso Chemical (4368.T)	O (07/28/2025)	¥3,385
Giken (6289.T)	E (01/24/2024)	¥1,937
Japan Material (6055.T)	E (01/24/2024)	¥2,200
MEC (4971.T)	O (03/11/2025)	¥7,510
Micronics Japan (6871.T)	O (01/24/2024)	¥14,750
Mitsui High-tec (6966.T)	O (01/24/2024)	¥966
Nissha (7915.T)	E (07/30/2025)	¥1,319
Nitto Boseki (3110.T)	O (08/12/2025)	¥3,210
Osaka Organic Chemical Industry (4187.T)	O (07/28/2025)	¥4,865
Sanken Electric (6707.T)	U (01/24/2024)	¥8,139
Sanyo Denki (6516.T)	O (08/04/2026)	¥5,830
Taiyo Holdings (4626.T)	++	¥4,790
Tamura (6768.T)	E (07/30/2025)	¥815
Tokyo Seimitsu (7729.T)	O (01/24/2024)	¥18,580
Towa (6315.T)	E (05/24/2024)	¥2,430
Toyo Gosei (4970.T)	O (08/07/2024)	¥12,660
Tri Chemical Laboratories (4369.T)	O (09/04/2025)	¥3,375
West Holdings (1407.T)	O (10/30/2024)	¥2,740
ZACROS (7917.T)	O (01/24/2024)	¥1,300

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